
BLOCK 2 SERVICE MARKETING MIX

In unit 2 of the course, you were introduced to the marketing mix for services. As you now know, the marketing mix for services also comprises three additional elements: people, process, and physical evidence, in addition to the traditional 4 Ps of the marketing mix: product, price, place, and promotion. In this block, we will be discussing the first 4Ps of the service marketing mix. Unit 4 on Product Decisions explains the concept of the service product, issues involved in developing new service offerings, and service branding and positioning. Unit 5 describes issues related to pricing decisions. In this unit, different pricing methods and strategies have been discussed. Unit 6 explains the channels and design of service distribution. The unit also outlines the strategic decisions in service distributions. The last unit of this block covers the promotion decisions. The unit discusses the challenges of service communications, planning the promotion mix, and integrated service marketing communications.

UNIT 4 PRODUCT DECISIONS

UNIT 5 PRICING DECISIONS

UNIT 6 PLACE DECISIONS

UNIT 7 PROMOTION DECISIONS

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UNIT 4 PRODUCT DECISIONS

Learning Outcomes

After studying this unit, you should be able to:

- understand the service product concept
- assess the development of new service offerings
- analyse the service branding process
- appreciate the service positioning

Structure

- 4.1 Introduction
- 4.2 The Service Product
- 4.3 Developing New Service Offering
- 4.4 Service Branding
- 4.5 Service Positioning
- 4.6 Summary
- 4.7 Keywords
- 4.8 Self-Assessment Questions
- 4.9 Project Questions
- 4.10 Further Readings

Like manufactured products, services can be produced, sold and distributed and consumed by a customer. We have seen how a company like ‘Urban Clap’ started creating and delivering services and the customers found value in their services. This unit relates to such issues.

4.1 INTRODUCTION

In practice the core of marketing is considered to be the marketing mix. Borden, while quoting from an article of Culliton, wrote that a marketer is viewed as a “decider”, or an “artist” or a “mixer of ingredients” who plans various means of competition. “He may follow a recipe prepared by others, or prepare his own as he goes along, or adopt a recipe to the ingredients immediately available, or experiment with or invent ingredients no one else has tried.” If a marketer was a “mixer of ingredients”, what he designed was a marketing mix.

Borden further wrote that “it was logical to proceed from a realization of the existence of a variety of marketing mixes to the development of a concept that would comprehend not only this variety, but also the market forces that cause managements to produce a variety of mixes. It is the problems raised by these forces that lead marketing managers to exercise their wits in devising mixes or programmes to fight competition.”

As discussed in Unit 2, the marketing mix in services includes 7 Ps. This unit covers one of the marketing mix elements i.e., Product.

4.2 THE SERVICE PRODUCT

Product, in the marketing context is anything which is offered to the market for exchange or consumption. In goods marketing we always say that there is a tangible component to which some intangibles like style, aftersales service, credit, etc., are integrated. In the case of services, on the contrary, the tangible component is nil or minimal. Conventionally, we describe a product as an object, which is developed, produced, delivered and consumed. However, in services there is no or a little tangible element. Therefore, the services are considered to be as benefits which are offered to the target market. There are two important things to note. First, a service is a bundle of features and benefits and secondly, these benefits and features have relevance for a specific target market. Therefore, while developing a service product it is important that the package of benefits in the service offer must have a customer's perspective.

Kotler has identified five levels of a product, as listed in Table 4.1. The example given in the table is that of a hotel. It is the core and the basic which might be the same for most of the competing products and it is the other levels which make them different.

Table 4.1 Five Product Levels

1	CORE BENEFIT	The fundamental benefit or service the customer is buying (Hotel: Rest / Sleep)
2	BASIC PRODUCT	Basic, Functional Attributes (Room; Bed; Bath...)
3	EXPECTED PRODUCT	Set of attributes / Conditions the buyer normally expects (clean room, large towel, quietness)
4	AUGMENTED PRODUCT	That meets the customers' desires beyond expectations (Prompt Room Services, and Check in / out, Music, Aroma)
5	POTENTIAL PRODUCT	The possible evolution to distinguish the offer (all-suite hotel)

Activity 1

For any 3 brands of a particular service (e.g., Banks), prepare a comparative table of all the 5 product levels.

		Brand 1 (PSU Bank)	Brand 2 (Private Bank)	Brand 3 (Cooperative/Rural Bank)
1	CORE BENEFIT			
2	BASIC PRODUCT			
3	EXPECTED PRODUCT			

4	AUGMENTED PRODUCT			
5	POTENTIAL PRODUCT			

Gronroos construed that the services a product offers consist of three levels. As shown in Figure 4.1, the first level is that of the basic service package which includes core service, facilitating services and supporting services. The second level is that of an augmented service offering where accessibility, interaction and customer participations is given equal importance in delivering the service product. The third level is that of the market communication of the service offering as in its absence the augmentation service package does not have any relevance to the customer.

Figure 4.1 The Service Product

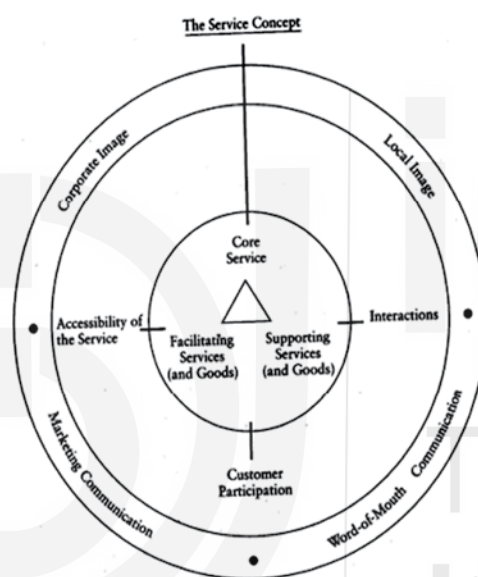


Figure 1 Augmented Service Offering Model (Reproduced from: Grönroos (1990, p.82))

The second step is to develop a *basic service package*. The *basic service package* describes the bundle of services needed to fulfil the needs of customers or target markets. There are three groups of services: *core*

Source: Gronroos, C. (1990) P-82, *Augmented Service Offering Model*

Level-1 The Basic Service Package

The 'package' concept of service product suggests that what you offer to the market is a bundle of different services, tangible and intangible but there is a main or substantive or 'core' service and around it are built the auxiliary or peripheral or facilitator services. It is important to note that facilitating services are mandatory, and if they are left out, the entire service would collapse. In the service package there are yet other types of services called supporting services. The basic difference between these services from facilitating services is that these services do not facilitate the consumption of core service, but are used to increase the value, and, thus, differentiate it from competition.

For example, in a 500-room hotel the core service is lodging and room service, bell boy service is facilitating service, and health club, car rental are supporting services. However, it may not be always possible to draw a line

of distinction between facilitating and supporting services. For example, in a typical city hotel, business center might be the supporting service, but in a business and convention hotel, the same service would be facilitating service.

Nevertheless, it is important while developing the service product package to consider all the three levels of service: core, facilitating and supporting.

Level-2 The Augmented Service Offering

It has been said that the basic service package is not equivalent to the service product the customer perceives, which is, in fact based on customer's experience and evaluation. Therefore, there is a need to involve the customer in the production of service offering and thereby reinforcing that the basic service package has to be expanded to a more holistic model of augmented service offering.

Here the suggestion is that issues related to the accessibility of the service, interaction with the service organization and consumer participation are also integral elements of the service product. Gronross identified the relevance of these issues in relation to the augmented services offering. The details are summarized in the Table 4.2. Some of these aspects are covered in the Block 3 on extended marketing mix for services.

Table 4.2: Elements of Augmented Service Offer

Accessibility of the Service	– Number and skills of personnel – Working hours and time used in performing various tasks – Location of service outlet – Exterior and interior of service outlet – Infrastructure, hardware, documentation – The number and knowledge of consumers simultaneously involved in the process.
Interaction with service organization	– Interactive communication between employees and customers – Interactions with the physical and technical resources of the organization needed in the service production process – Interaction with other customers involved in the process

Customer participation	– How well the customer is aware about the process of service delivery and his or her role – How well the customer is prepared to share information – How well the customer is willing to share information or use service equipment
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Source: Christian Gronross, *Services Management and Marketing*, Lexington Books, 1990, pp 76-80.

Level-3 Market Communication of the Service Offering

It is true that a favorable image enhances the service experience, and a bad image may even destroy it. Therefore, the issue of management of image through communication becomes an integral part of developing the service product. But the important point to note here is that apart from the conventional methods of promotion, digital and social media promotions are equally important. A negative comment from a fellow customer or a negative opinion on social media and blogs is more than enough to negate the impact of your mass media advertising, media blitz, and online promotions. You will study more about communication in the Unit 7 on promotion decisions.

Activity 2

For any service organization (such as bank, hospitals), identify all the levels of service offered, as suggested in the preceding section, and also study the marketing implications

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4.3 DEVELOPING NEW SERVICE OFFERINGS

In order to develop a service product, as a manager you will have to follow the following stages:

- i) the customer benefit concept;
- ii) the service concept;
- iii) the service offer;
- iv) service forms, and
- v) the service delivery system

These five strategies have been diagrammatically shown in figure 4.2 and discussed in detail in the following text.

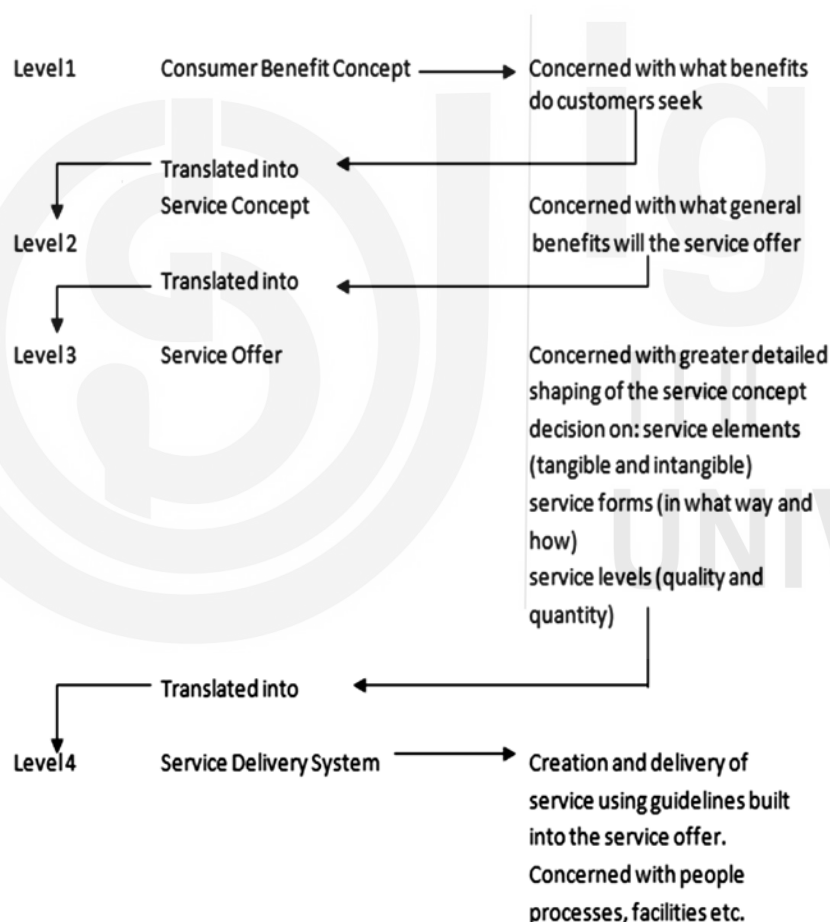
- i) **Customer Benefit Concept:** The service product which you offer in the market place must have its origin in the benefits which the customers are seeking. But the problem is that customers themselves

may not have a clear idea of what they are seeking or they may find it difficult to express or it may be a combination of several benefits and not a single one. Over a period of time, the benefits sought may also change. This change in customers may come about by a satisfactory or unhappy experience in utilising the service, through increased sophistication in service use and consumption, and changing expectations. All these make the issue of marketing a service product very complex.

- ii) **Service Concept:** Using the customer benefits as the starting point, the service concept defines the specific benefits which the service offers. At the generic level the service concept refers to the basic service which is being offered. A centre for the performing arts may offer entertainment and recreation. But within this broad framework, there can be specific choice paths for satisfying the entertainment objective, such as, drama, musical concerts, mime, poetry recitation, dance etc. Defining the service concept helps answer the fundamental question, 'What business are we in?'
- iii) **Service Offer:** Having defined the business in which you are operating, the next step is to give a specific shape and form to the basic service concept. To refer to the example of the centre for the performing arts, the service concept is to provide entertainment. The service offer is concerned with the specific elements that will be used to provide entertainment: drama, music, mime, poetry recitation, and dance. In the category of musical concerts the choice may be vocal or instrumental, with vocal whether light or classical, Hindustani or Western. While these represent the intangible items of the service offer, the physical infrastructure of the centre, in terms of its seating capacity, comfortable seats, quality and acoustics, provision of air-conditioning, snack bar and toilets are the tangible items. The tangible aspects can be controlled by offering the best possible benefit, but the quality and performance of the actors, singers, musicians cannot be controlled. Theoretically, a manager must control both the tangible and intangible components. But in practice, he can control only the tangible components and lay down norms for the intangible components (e.g. maximum duration of recital, brief introduction before each dance item, etc.)
- iv) **Service Forms:** In what form should the services be made available to the customers is another area of decision-making. Should all the shows of the centre be available in a package deal against a yearly membership fee or seasonal ticket? Should there be daily tickets with the consumer having the freedom to watch any one or more performances being staged on that particular day? Or should each performance have a separate entrance ticket, with a higher priced ticket for a well-known performance? Service form refers to the various options relating to each service element. The manner in which they are combined gives shape to the service form.
- v) **Service Delivery System:** When you go to your bank branch (instead of using online or ATM services) to withdraw money from your

account, you either use a cheque or a withdrawal slip in which you fill all the particulars and hand it over to the clerk, who after verifying the details, gives you money. The cheque or withdrawal slip and the clerk constitute the delivery system. In a restaurant, the waiters are the elements of the delivery system. The two main elements in a delivery system are the people and the physical evidence. The competence and public relations ability of a lawyer represents the 'people' component, while his office building, office door, letterhead, etc. are all elements of the 'physical evidence'. The physical evidence components have also been called 'facilitating or enabling goods' and 'supporting or enhancing goods'. These are the tangible elements of the service and they exert an important influence on the quality of the service as perceived by the consumers. Figure 4.2 presents a graphical conceptualisation of the service product.

Figure 4.2: Conceptualisation of the Service Product



As a manager marketing services, you would like to market not just one service but a range of services. You would need to take decisions on the length and width of the range of services, the manner in which they complement and support each other, and how well they face up to the competitor's offerings. Table 4.3 illustrates the concept of a range of services, using the example of a club.

**Table 4.3: Examples of Range of Service
Customer Groups**

Children	Mixed Adults	Only women or men	Business groups
Swimming lessons	Swimming lessons	Beauty parlor/ Massage facility	Conference rooms
Badminton lessons	Badminton, Tennis lessons	Yoga/Judo Lessons	Secretarial assistance
Indoor games	Card rooms	Tournaments	Video coverage
Library	Billiards	Kitty parties	
Film shows	Facilities for parties & receptions		

The service or services which you offer must be targeted at specific market segment. The target market segment must have a definite need for the service. In the illustration of the club in Table 4.3 the recreation facilities for children would succeed only if the parents of the children perceive a definite advantage in the trade-off of money versus time. The parents must perceive it worthwhile to spend money on the children to keep them busy rather than spending their own time.

Activity 3

You have studied that a service product can be analysed at the level of the customer benefit concept, the service concept, the service offers and the service delivery system. Try to recapitulate the services that you have enjoyed, while at a restaurant or a hotel. Analyse the services offered by the hotel or restaurant at the five levels studied by you.

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NEW SERVICE DEVELOPMENT

The following seven levels in the hierarchy of new service development have been suggested by Wirtz et al.

- **Style changes** are the most basic type of innovation, involving no changes to processes or performance. They are, however, highly visible. Revamping of retail branch, and redesigning of website are a few examples.

- **Service improvements** involve minor changes in the performance of existing products, such as improvements to either the core product or existing supplementary services. A hotel, for example, may offer guests the option of selecting music from a variety of genres such as vocal, instrumental, Hindustani classical, or Western.
- **Supplementary service innovations** include the addition of new facilitating or enhancing service elements to an existing core service or the significant improvement of an existing supplementary service. As an example, consider the digital payment option.
- **Process line extensions** represent new ways of delivering existing service products, such as the development of online or app-based self-service options.
- **Product line extensions** add new services that typically provide the same core service but are tailored to meet different needs. For example, the product line extension of banking services includes credit cards, loans, investments, and insurance.
- **Major process innovations** involve the use of new processes of delivering existing core products in new and improved ways. For example, online education is changing the dynamics of traditional classroom teaching.
- **Major service innovations** include the creation of new core products for markets that have not been previously defined. For example, app-based cab services provided by companies such as Uber and Ola have created a new mode of transportation.

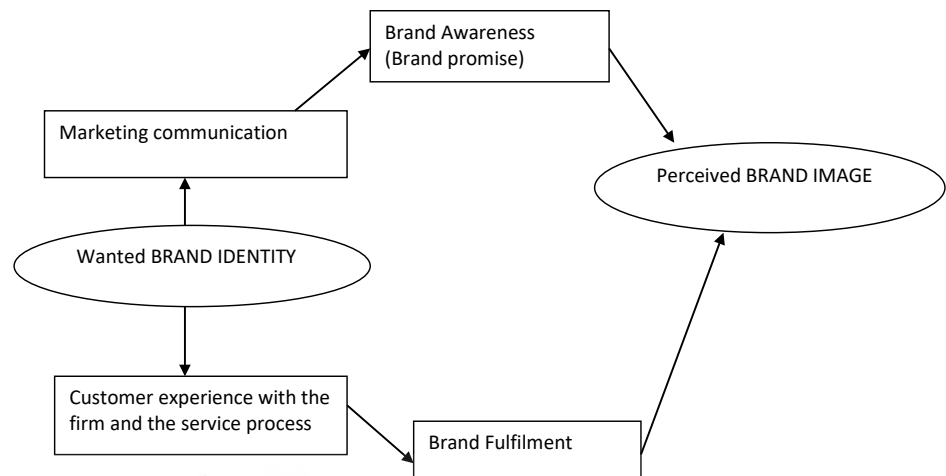
4.4 SERVICE BRANDING

Choosing a brand name for a consumer product or service is one of the most important decisions. A well-chosen brand name can provide a number of specific advantages to the organisation. These include suggesting product benefits, evoking feeling of trust, confidence, security and simplifying shopping. The American Marketing Association defines a brand as follows: 'A brand is a name, term, sign, symbol, or design, or a combination of these, intended to identify the goods or services of one seller or group of sellers and to differentiate them from those of competitors.' Though branding has received considerable attention from marketers and academicians, the main focus has been on physical goods rather than services. However, services branding has started to receive considerable attention lately. The intangibility factor associated with services has led to the suggestion that branding and image creation may be even more critical for services. For a service brand to be effective it should possess distinctiveness, relevance and memorability.

The Service Branding Process

the service branding process is illustrated in figure 4.3.

Figure 4.3 Service Branding Process



(Adopted from Gronroos, C. (2015). Service Management and Marketing: Managing the Service Profit Logic, 4th Edition, P-569.)

The first step in the service branding process is to identify the wanted brand identity. The brand image that the company wants its customers and other stakeholders to have is being evaluated at this stage. Then, through planned marketing communication, brand awareness is created to inform customers about the existence of a specific service. The goal of planned communication efforts is also to support customers' experiences with the service firm, the service process, and the service outcome (the functional and technical quality of the service).

The experiences customers have with the firm and the service process form the brand fulfilment in the service branding process. Primarily, this brand fulfilment results in a perceived brand image that customers and other stakeholders develop in their minds, whereas planned communication efforts are only supportive in this process. This is depicted in the figure by the line connecting the brand awareness box and the perceived brand image.

Thus, branding of service can be summarised as the primary task in the branding process is to manage the service processes so that they provide customers with positive brand contacts and corresponding brand messages, resulting in brand fulfilment and, ultimately, favourable brand relationships. Furthermore, internal branding is required to prepare and motivate employees within the organisation, distributors, and other network partner organisations to actively contribute to the successful fulfilment of the brand.

Activity 4

Discuss how your experience with social media has influenced the creation of a brand image for any service.

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Cultivating Service Brands

Leonard Berry presented following four strategic viewpoints for cultivate service brands

1. Be different.
2. Determine your own fame.
3. Make an emotional connection.
4. Internalize the brand.

Be different. Firms with strong brands innovate rather than imitate existing offerings, and their service is presented differently than the competition. It is differentiated in such a way that it is distinguishable and piques the interest of current and potential customers.

Determine your own fate. Firms with strong and well-recognized brands create something important and valuable for their customers. Firms that control their own destiny outperform their competitors in terms of services. As a result, positive word-of-mouth spreads, and customer-to-customer discussions on social media strengthen the brand.

Make an emotional connection. Because service always has an emotional component, firms with strong brands strive to go beyond the logical and economic aspects of their offerings. They instil in their customers feelings of trust, attraction, affection, and closeness. Firms that are successful in making themselves meaningful to their customers can also establish this emotional connection with them.

Internalize the brand. Firms that have strong brands invest in internalizing the brand relationship inside the organization. Communication efforts can help to improve the brand's image. However, in the end, service brands are formed largely through service encounters. Employees play a critical role in supporting the branding process during service encounters.

4.5 SERVICE POSITIONING

Positioning is the act of designing the company's offering and image to occupy a distinctive place in the target market's mind. Developing a service positioning strategy begins with an analysis of customers, competitors, and the company, referred to collectively as the 3 Cs. An assessment of all aspects of the service offering and an emphasis on competitive advantage on attributes that will be valued by customers helps a firm in determining the key elements of its service positioning strategy, which are segmentation, targeting, and positioning, commonly referred to as STP. This requires the companies to examine their markets, determine the structure and nature of market segments. The various steps in determining a positioning plan include:

- i) Define a market's segments
- ii) Decide which segment to target
- iii) Understand what the target consumers expect and value
- iv) Develop a service which caters to these needs

- v) Evaluate consumer perceptions of competing services
- vi) Select an image for the product matching the aspiration of the targeted consumers
- vii) Communicate with the determined customers and make the product suitable available.

You will appreciate that service positioning involves three basic steps i.e. Segmentation, Targeting and Positioning. The market segmentation can be done on the basis of a number of variables like Geographic (region, climate etc.), Demographic (age, family size, gender, income, occupation, education, social class etc.), Psychographic (lifestyle, personality) and Behavioural (benefits, occasions of use, usage rate etc.).

In your core course, marketing management (MMPC-006), Unit 3, you have gone through Market segmentation, targeting and positioning

(<http://egyankosh.ac.in/handle/123456789/79489>).

In unit 3 of MMPC-006 we have already discussed in detail the STP, the requirements and Importance of Positioning, developing the positioning strategy, analysis of competitive positioning, effectiveness of positioning, positioning errors, and repositioning. In the discussion, product and price attributes were considered as positioning themes. However, in the case of services, positioning also relates to the other 7 Ps of the services marketing mix, which include service processes, schedules, locations, distribution systems, the services environment, and service personnel. In this section, the concept of positioning is further extended in view of service products

The process of service positioning

Service positioning involves following five action steps:

- 1 Determining levels of positioning
- 2 Identifying the key attributes
- 3 Locating these attributes on a positioning map
- 4 Evaluating positioning options
- 5 Implementing the positioning strategy

Let-us discuss in brief each of these steps:

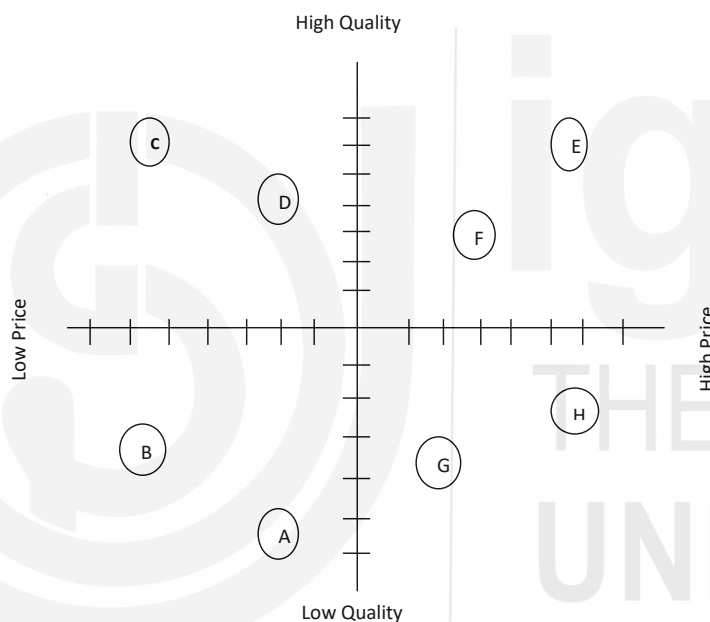
Determining levels of positioning. Positioning can be considered at several levels, such as industry positioning (positioning of the service industry), organisational positioning (positioning of the organization), product sector positioning (positioning a range of related products and services), and individual product or service positioning (positioning of specific services). For example, telecom service providers and airlines position their service plans differently for corporate and individual customers. Similarly, banks offer similar services, so they can make a distinction in terms of organisational positioning.

Identifying the key attributes. In order to identify the key attributes, it is important to focus on how the purchasing decisions are made by customers. For example, in the case of banking services, factors like mobile or online banking facilities, friendly staff, bank timings, atmosphere, etc. could be the basis of selecting a particular bank. However, customers' preferences do not have to reflect the most important characteristics as perceived by the

service provider. For example, customers' perceptions of a restaurant may be influenced more by how they are treated by waiters than by the quality of the meal they are served.

Locating these attributes on a positioning map. Positioning maps are an effective way to visually represent consumer perceptions of alternative products. Positioning maps commonly have two dimensions even though they are capable of having several. For example, in the perceptual map given below, you can see consumer perceptions of different competing brands on the two dimensions of Price and Quality. In figure 4.4 you can see that brands **B** and **C** offer a service at a similar price, but the brand **C** provides a much higher level of quality. Similarly, brands **C** and **E** provide almost identical quality, but **E** is far more expensive. Positioning maps can also indicate the gap for repositioning the existing products or introducing new service products.

Figure 4.4 Positioning Map



Evaluating positioning options. Ries and Trout have suggested following three positioning options:

Strengthening current position against competitors: This entails improving one's own services and thus strengthening one's current position against competitors. This is done in such a way that a direct attack is avoided.

Identifying an unoccupied market position: This option seeks to identify market gaps and fill them through improved service offerings.

Repositioning the competition: This means that repositioning frequently in order to outperform the competition is possible through innovations and promotions.

Irrespective of which positioning option is chosen, the positioning must be meaningful, believable, and unique.

Types of Positioning

Positioning can be achieved in a variety of ways. Let us discuss some specific strategies of service positioning.

Positioning by Attributes- A service provider may position itself based on an attribute or feature. For example, theme-based resorts and hotels.

Positioning by Benefits- It is focused on some benefit that the customer receives from using a specific service. For example, online ticket booking platforms offer a special discount on air ticket bookings if payment is made through credit/debit card of specific banks.

Positioning by competition: The service provider positioned the service in comparison to the service offerings of competitors.

Price based positioning- This positioning strategy focuses on the relationship between price and quality, as well as the consumer's perception of a product's value.

Positioning as a leader: For example, Life Insurance Corporation of India (LIC) position itself as Number 1 in the life insurance category, State Bank of India (SBI) in public sector banks, Facebook as social media platform etc.

User Positioning- The service is positioned for a specific target group. For example, the Indian Railway Catering and Tourism Corporation (IRCTS) plans special pilgrimage tours (Chardham Yatra)

Use/Application Positioning- The service is positioned as the best for certain applications. For example, a bank can position itself as the best at providing home loans.

Activity 5

Choose three brands from various service sectors and examine the basis of their positioning strategies.

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4.6 SUMMARY

This unit covered one element of the seven marketing mix elements for service - Product. Service Product was explained to you with the help of Kotler's five product level concept and Gronroos's three level concept. The steps in developing a new service were identified and discussed. These include developing a consumer benefit concept which should be translated into service concept. Service concept then helps the organisation in detailed designing of the service offer which is to be translated into the service delivery system. The unit also explained the issues related to service branding and positioning

4.7 KEYWORDS

Core Service product- The fundamental benefit or service the customer is buying

Facilitating or enabling supplementary services such as information, order-taking, billing, and payment are needed for service delivery or they help in the use of the core product.

Service product is a bundle of features and benefits that comprises all the elements of the service performance, both physical and intangible, that create value for customers

Service Branding Process manages the service processes so that they provide customers with positive brand contacts and corresponding brand messages, resulting in brand fulfilment and, ultimately, favourable brand relationships

Supporting or enhancing supplementary services add value for the customer. They include consultation, hospitality, safekeeping, and dealing with exceptions.

Positioning is the act of designing the company's offering and image to occupy a distinctive place in the target market's mind

4.8 SELF- ASSESSMENT QUESTIONS

- 1) Differentiate between core, facilitating and supporting services, giving suitable examples.
- 2) Discuss the various stages in the development of a new service offering.
- 3) Travel agencies are losing business as a result of passengers who book their tickets online. Identify potential new services for travel agencies that could compensate for the loss of ticket sales.
- 4) What is a brand? How does branding of services help in creating long-term customer relationships with customers? Explain.
- 5) How can positioning help managers better understand and respond to competitive dynamics?

4.9 PROJECT QUESTIONS

1. Choose a service company that you believe is successful and has a strong brand. Conduct a few interviews to learn how customers perceive the company's service. Determine the factors that contributed to the service firm's strong brand presence based on the findings.

4.10 FURTHER READINGS

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5. Kotler, P., Keller, K.L., Koshy, A. and Jha, M. (2018), Marketing Management: A South Asian Perspective, Pearson Education.
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UNIT 5 PRICING DECISIONS

Learning Outcomes

After studying this unit, you should be able to:

- describe how characteristics of the services influence the pricing decisions
- appreciate the non-monetary aspects of pricing
- explain the objectives of pricing
- discuss the pricing methods and strategies.

Structure

- 5.1 Introduction
- 5.2 Pricing and Service Characteristics
- 5.3 Role of Non-monetary Costs
- 5.4 Pricing Objectives
- 5.5 Pricing Methods and Strategies
- 5.6 Summary
- 5.7 Keywords
- 5.8 Self- Assessment Questions
- 5.9 Project Questions
- 5.10 Further Readings and References

Price is a controllable element of the marketing mix. Some companies keep their prices highly competitive and they may gain major market share. One such example is Walmart, which is a Fortune 500 company, operating in over 24 countries with 10,500 stores.

5.1 INTRODUCTION

In the case of products, the term ‘price’ is used for all kinds of goods- fruits, clothes, computers, building etc. but in the case of services, different terms are used for different services. Table 5.1 represents the term used for some selected services

Table 5.1: Price Terminology for Selected Services

Terminology	Service
Premium	Insurance
Interest	Use of Money
Fee	Legal Service, Education, Consultancy, Health Care
Fare	Transport
Rent	Property Usage
Fee	Education

Commission	Advertising, Brokerage Service
Salary	Employee Services
Tariff	Utilities
Toll	Road Use

Essential characteristics of services differs from that of goods, it affects both the customer and the marketer. Pricing is challenging for marketers because the costing is not the same as the costing of goods. For example, the nature of service creates exceptional buying pitch for customers, where the basic questions that a typical buyer considers before purchasing become much more difficult. For example, the buyer's understanding of what is being purchased, the ability to compare alternatives, and the buyer's ability to estimate the price. As a result, deciding on a price for a service is not as simple as putting a monetary value on the service use. A marketer must consider what "other" implications the price has for a buyer; only then can effective pricing be done.

5.2 PRICING AND SERVICE CHARACTERISTICS

In determining the prices of services, the one characteristic which has great impact is their **perishability** and the fact that fluctuations in demand cannot be met through inventory. Hotels and airlines offering low rates in off-season are examples of how pricing strategy can be used to offset the perishable characteristics of services.

Another characteristic of services that creates a problem in price determination is the high content of the **intangible** component. The higher the intangibility, the more difficult it is to calculate cost and greater the tendency towards non-uniform services, such as fees of doctors, management consultants, lawyers. In such cases, the price may sometimes be settled through negotiation between the buyer and seller. On the other hand, in services such as dry cleaning, the tangible component is higher, and the service provided is homogeneous. It is easier to calculate the cost on a unit basis and have a uniform pricing policy.

In general, the more unique a service the greater the freedom to fix the price at any level. Often the price may be fixed according to the customer's ability to pay. In such cases price may be used as an indicator of quality.

The third characteristic to be kept in mind while determining prices is that in many services, the prices are subject to **regulations**, either by the government or by trade associations. Bank charges, electricity and water rates, fare for rail and air transport in India are controlled by the government. In many other cases, the trade or industry association may regulate prices in order to avoid undercutting and to maintain quality standards. International air fares are regulated by international agreement of airlines, similarly sea freight fares are regulated. In all such cases, the producer has no freedom to determine his own price.

Activity 1.

Examine your own purchasing behaviour; how did you feel the last time you had to decide on:

- a) booking a vacation,
 - b) using an online cab service,
 - c) opening a new bank account, or
 - d) selecting a school/college?
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5.3 ROLE OF NON-MONETARY COSTS

Non-monetary costs refer to the sacrifices perceived by the consumers, other than monetary costs, when buying and using a service. Many a times the non-monetary costs may become even more important than monetary costs. The nonmonetary costs can be broadly divided into the following categories.

- i) **Time Costs:** Because services are inseparable, most of them would require direct participation of the consumer i.e. they involve time. The time required by a consumer would include actual time of interaction with the service provider as well as the waiting time. Therefore, the consumer is not only spending his money but also sacrificing his time. At times the consumer may be required to travel to a service which may involve time as well as additional monetary cost.
- ii) **Search Costs:** These involve the efforts put in by the consumer in searching information, finding out alternatives and evaluating them. Typically search costs are far greater in case of services as compared to goods. There are a number of reasons for this. Services being rich in experience and credence qualities are rarely displayed on shelves in service outlets for customers to evaluate them. Also, in many services it is difficult to know the price in advance.
- iii) **Psychic Costs:** These include fear of not understanding or fear of rejection or fear of uncertainty. For example, while applying for a bank loan the customer has a fear of the loan application being rejected. At times, customer may find the service product difficult to understand like various options in life insurance or difficult to use like ATMs, on line trading etc.

As marketers you should not concentrate just on monetary costs alone as consumer make decisions based on monetary as well as non-monetary costs. In fact, by reducing non-monetary costs, it may be possible for you to increase monetary price.

Activity 2

Discuss the role of technology in the non-monetary cost reduction of the following services:

- a) Travel and hotel booking
- b) Banking Services

5.4 PRICING OBJECTIVES

Pricing objectives serve as the foundation for pricing methods and policies, and a better comprehension of pricing objectives can guide a company's entire pricing process. Pricing objectives can be classified based on their content, desired level of achievement, and time horizon. Financial indicators such as profit, sales, market share, and cost coverage, as well as qualitative factors such as customer and competitor relationships, the firm's long-term survival, and the achievement of social goals, can all play a role in developing pricing objectives for services. The primary objectives of pricing can include making a profit and covering costs, increasing demand and developing a user base, and supporting the firm's positioning strategy. Wirtz and Lovelock have classified the pricing objectives of services into three basic categories: Revenue and profit objectives, Patronage and User Base-Related objectives and Strategy related objectives. Let-us describe these pricing objectives.

Revenue and Profit Objectives

A price is determined by taking into account both the profit and the cost of providing services. Furthermore, profit gain objectives may include maximising long-term profit, achieving a specific target level, or increasing revenue from a fixed capacity by varying prices and target segments over time. Cost coverage may include the following: costs of providing a single service, excluding overhead; fully allocated costs, including corporate heads; and incremental costs of selling one additional unit or serving one additional customer.

Patronage and User Base-Related Objectives

Price can be used effectively to build demand and develop a user base by developing customer loyalty and relationships. Demand is often increased to realise full capacity utilisation by increasing usage rates and providing value to customers. The larger user base can take advantage of economies of scale to gain a competitive cost advantage. By encouraging service trial and adoption, a user base can be developed.

Strategy-Related Objectives

Pricing can help with positioning and differentiation strategies. For example, as a price leader or a premium-quality provider. Pricing can also be used to support the firm's competitive strategy. It can be used to discourage potential new competitors from entering the market, as well as to discourage existing competitors from expanding capacity.

These objectives provide a sense of direction for a service firm's price setting. These should be adaptable and change over time in response to changing environmental conditions and market characteristics such as:

market size; form of competition (perfect competition, oligopoly, monopoly, monopolistic competition), degree of governmental intervention, barriers to entry and exit from the market, rate of technological change, and so on.

Activity 3

Suggest suitable pricing objectives for:

- a) Any non-profit organization
- b) Internet services
- c) Life insurance plans

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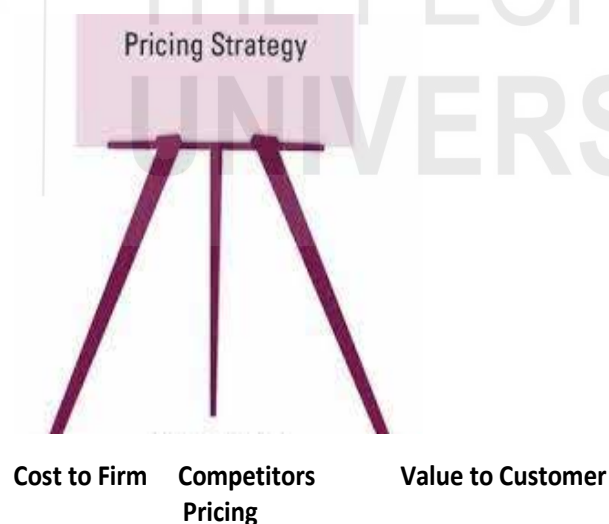
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5.5 PRICING METHODS AND STRATEGIES

The framework of a pricing strategy can be described as a tripod, with the three legs suggested by Writz and Lovelock being **costs to the provider**, **competitors' pricing**, and **value to the customer**, as shown in figure 5.1. In many service industries, pricing used to be viewed from a financial and accounting standpoint, and therefore cost-plus pricing was used. Today, however, most service firms have a good understanding of value-based and competitive pricing.

Figure 5.1: The Pricing Tripod



Adopted from Jochen Wirtz, Christopher Lovelock - Services Marketing People, Technology, Strategy-World Scientific Publishing Company, 2021

Pricing used to be looked from a financial and accounting viewpoint in many service industries, so cost-plus pricing was used. Today, however, most service firms understand the importance of value-based and competitive pricing. The costs for a specific service offering that a firm needs to recover generally set a minimum price, or price floor, and the customer's perceived value of the offering sets a maximum price, or price ceiling, in the pricing

tripod. Where the price can be set within the floor-to-ceiling range is typically determined by the price charged by competing services. Given the possible range provided by the pricing tripod analysis, the organization's pricing objectives determine where actual prices should be set. Let's take a closer look at various pricing strategies may be suitable for services.

Cost- Based Pricing

Cost-based pricing assumes that the cost of a unit of output can be determined and that a certain profit element is added to that to determine the price. The basic formula for cost-based pricing is-

$$\text{Price} = \text{Fixed Cost} + \text{Overhead Cost} + \text{Profit Margin}$$

However, the issue with cost-based pricing in services is that determining the cost of each unit of service is difficult. Because the unit of output for services, unlike goods, is not a physical product unit. For example, consultancy, education, and legal services are sold in terms of time. As a result, the valid unit for service pricing is input units, such as hours of training or personnel time required to provide services. Cost-based pricing is used in services such as advertising, consulting, utilities, contracts, project works (construction and engineering) where costs must be predicted in advance. The service provider calculates the cost of services by adding up material, labour, and overhead costs, and then they add a profit margin. Professionals like consultants, psychologists, accountants, lawyers, etc. use the fee-for-service pricing model, which is based on the amount of time required to offer the service.

For service firms with high fixed costs and product lines with shared infrastructure, such as retail banking, air services, and hospitals, the more complex activity-based costing (also known as "ABC") approach may be worth considering. It is a more precise method of allocating indirect costs (i.e., overheads) to specific product lines and services. When calculating the indirect cost of a service, a firm considers the resources required to perform each activity associated with the service, and then allocates the indirect cost to the service based on the quantities and types of activities required to perform the service.

Competition-Based Pricing

The main characteristics that trigger pricing decisions in competition-based pricing are competitors' prices and actions. Under this approach, firms have three main options: fix the price at the level that the competitor is charging, price above the competition, or price lower to increase market share. The decision is influenced by the extent to which their services differ from those of their competitors, the level of competition, and the firm's market position.

Similar service-selling companies frequently use it. Telecom service providers, for instance, frequently employ this strategy because consumers frequently compare switching costs between competitors and the services are generally comparable in terms of offers. Other examples include platform-based taxi services and airline services. In these industries, where a small number of major players dominate, when one service provider changes (lowers or raises) the price, others promptly match the change in price to that of their competitor.

Customers will be willing to pay more for the services when they believe the company differs from its competitors in terms of particular features and they judge the service to be superior to the services of the competitors. If a hotel differentiates itself from its competitors, it may charge more. For instance, a five-star hotel charges more than a three-star hotel. The American Express Company charges its consumers higher prices for credit card services than many of its competitors, similarly as how Apple Inc. charges higher pricing than competitors like LG and Samsung in the smartphone industry.

Aravind Eye Care System adopted a low-price competitive strategy for eye care services. Depending on the type of lens placed in the patient's eye and the amenities offered, Arvind Eye Care System charges differently for the same level of care that is delivered to every patient. Non-paying patients receive a basic hard lens and a mat on the floor in a room with other patients. Patients who pay can choose from a variety of soft lenses and various categories of accommodations.

Value-Based Pricing

When determining the price to be charged, the value-based pricing approach takes the customer's perspective into account. The price to be charged is determined by the customer's perception of the value that a product or service provides and what they are willing to pay for that value. The perceived value of a service varies depending on the customer group. The four most important value perceptions among service customers and suitable pricing strategies for these group of customers are being discussed in this section.

1. **Value as Low Price:** Some customers may perceive value if the service is available at a reduced or low price. In this case, the following pricing strategies are more effective.

Discount Pricing refers to the practice of offering a commission or discount to intermediates such as advertising agencies, stock brokers, property dealers for rendering a service. It may also be used as a promotional device when demand for services is low or when demand needs to be shifted from peak to off-peak. This strategy may also be used to encourage customers to try a new service (such as an introductory discount).

Psychological Pricing is used to influence consumers by setting the price at odd numbers such as INR 199, 499, and so on. It gives customers the psychological impression that they are receiving services at a low cost.

Penetration Pricing refers to the practise of introducing a service at a low initial price in order to attract the price-sensitive market. For example, Reliance Jio Infocomm Limited (RJIL) entered the Indian telecom industry in September 2016 with its "Jio welcome offer," which included a free data and voice plan that was later extended until December 2016. After that, it unveiled the "Happy New Year offer," which extended the previous plan through March 31, 2017. It charged low prices even in 2018 and 2019 to provide high speed internet and voice, which fuelled the Indian digital revolution.

2. **Value as Benefits:** These customers consider the suitability, quality, features, and benefits that they receive from the service to be the most

important factor in determining the value of the service, rather than the price.

The following strategies are appropriate for a customer group that perceives that value is everything.

Prestige Pricing aims to attract premium market segments. The service's price reflects the status of the target market. Customers place a higher value on the service's high price. It is a pricing strategy where higher prices are used to imply exclusivity and excellence. Luxury brands and upscale eateries usually engage in this strategy.

Skimming Pricing involves launching a service at a high initial price. Service companies seek to exploit the opportunities in the premium segment in the first phase. Initial skimming pricing practises were used by manufacturers of digital watches. Similarly, the earliest prices of mobile phones were part of skimming pricing when the market was dominated by a few players.

3. **Value as Price Versus Quality Relationship:** This customer group sees a trade-off between the price they pay and the quality of service they receive. They rationally evaluate alternatives and strive to maximise their benefits from each transaction. The following strategies are suitable for this segment of customers:

Value Pricing focuses on lowering customer costs and increasing customer value in order to provide higher customer delivered value.

Segmentation Pricing strategy refers to separating these customers from the rest of the market by offering a separate package. Customers are more likely to place a higher value on distinctive identity.

4. **Value as Special Packages Offered by the Company:** When evaluating the value of services, this group of customers considers the total benefit received as well as the total sacrifices made by them, including money, time, and effort. The company's special packages attract this type of customer. The following strategies are suitable for this group:

Price Framing essentially provides complete pricing information for various service packages so that customers can group the desired services at a price and place an order.

Price Bundling: Some services are consumed more effectively in combination with other services. When customers perceive value in a package of services that are interrelated, price bundling is an appropriate strategy. It basically means pricing and selling services as a group rather than individually. For example, a membership to Amazon Prime gives online shoppers price and shipping benefits in addition to access to their music and on-demand movie services. In addition to traditional services, telecom companies offer bundles that include wired internet connections, landlines, mobile phones, OTT goods, and content. Other examples include mobile phones that come preloaded with software; vacation trip package offers; restaurants that serve value meals; the metro offering season passes; etc.

Price bundling is of three types: pure bundling, mixed bundling, and add-on bundling. Full-service airlines generally use pure bundling strategies where everything is included in the service package: seat, food, check in baggage etc. Mixed bundling is like both the options of a combo meals or each item you can buy separately. Add-on bundling is like extra cheeses on the burger. All these strategies are extensively used in the services sector.

Now, let us discuss some more pricing strategies that may be used to sell services.

Differential or Flexible Pricing is used to reduce the ‘perishability’ characteristic of services and iron out the fluctuations in demand. Differential price implies charging different prices according to:

- 1) customer’s ability to pay differentials (as in professional services of management consultant, lawyers);
- 2) price time differentials (used in hotels, airlines, telephones where there is the concept of season and off season and peak hours); and
- 3) place differential used in rent of property-theatre seat pricing (balcony tickets are more expensive than front row seats) and houses in better located colonies command high rent.

Differential Pricing Case: IRCTC

Indian Railway Catering and Tourism Corporation (IRCTC) offers a quota of ‘Tatkal’ as well as ‘Premium Tatkal’ for online ticket bookings. The main distinction between these two types of ticket booking is in the ticket prices. Tatkal ticket charges have been set as a percentage of fare at 10% of the basic fare for second class and 30% of the basic fare for all other classes, subject to the minimum and maximum prices shown in table 5.2. Tickets for the Premium Tatkal service, which is only available on certain trains, have dynamic fare pricing for classes. The Premium Tatkal fare refers to the fare component that increases with subsequent bookings. Booking a Premium Tatkal ticket is much more expensive than booking a Tatkal ticket due to dynamic fare pricing. Ticket prices vary depending on the booking rate and availability of seats.

Because services are perishable, service providers use a variety of pricing strategies to broaden their revenue streams.

Table 5.2 Minimum and Maximum Tatkal Charges

Class of Travel	Minimum Tatkal Charges (in Rs.)	Maximum Tatkal Charges (in Rs.)
Second (sitting)	10	15
Sleeper	100	200
AC Chair Car	125	225
AC 3 Tier	300	400
AC 2 Tier	400	500
Executive	400	500

Source https://contents.irctc.co.in/en/tatkal_faq.pdf

Diversionsary Pricing refers to a low price which is quoted for a basic service to attract customers. A restaurant may offer a basic meal at a low price but one which includes no soft drink or sweet dish. Once the customer is attracted because of the initial low price he may be tempted to buy a drink or an ice-cream or an additional dish. Thus, he may end up buying more than just the basic meal.

Guaranteed Pricing refers to pricing strategy in which payment is to be made only after the results are achieved. Employment agencies charge their fee only when a person actually gets a job, a property dealer charges his commission only after the deal is actually transacted.

High Price Maintenance Pricing strategy is used when the high price is associated with the quality of the service. Many doctors, lawyers and other professionals follow this pricing strategy.

Loss Leader Pricing strategy is one in which a low initial price is charged in the hope of gaining more business at later better prices. Some supplementary services are generally provided at a very low cost in order to attract customers to the service outlet or website. The loss on some offers is offset by the increased turnover generated by this strategy. For example, the launch of Jio.

Offset Pricing is quite similar to diversionsary pricing in which a basic low price is quoted but the extra services are rather highly priced. A gynaecologist may charge a low fee for the nine months of pregnancy through which she regularly checks her patient, but many charge extra for performing the actual delivery and post-delivery visits.

Captive Pricing refers to providing a basic service or product as well as ongoing supplies or peripheral services as needed. In the case of a DTH (Direct-to-Home) service, the set-up box is provided for a price or a deposit, and subsequent monthly payments for the channels of choice are collected.

Two-part Pricing: The price of the services is divided into two parts under this strategy. In the case of a DTH service, the basic package is compulsory, and the second part is determined by the use of add-on pack offers, VOD (Video on Demand), and interactive services.

Activity 4

Consider some of the services you frequently use, such as restaurants or outdoor foodservice. Identify how the price of these services is expressed from the lowest-end eating outlets to the most exclusive restaurant you visited. How does the price relate to the other aspects of the total service package?

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In addition to deciding on what to charge, the pricing strategy of a service firm should also address the following issues:

- Who should collect payment? (Organisation that provides the service or a specialist intermediary such as travel agent, banks, etc.)

- Where should payment be made? (Location of service delivery or a convenient outlet or customer's home)
- When should payment be made? (Before or after delivery, timings)
- How should payment be made? (Cash, credit and debit cards, electronic fund transfer, third party payment (e.g., insurance company or government agency), mobile payment, etc.)
- How should prices be communicated to the target market? (Communication medium such as advertising, website, app, signage, electronic display, salespeople, customer service personnel; and message content etc.)

5.6 SUMMARY

This unit covered the price element of the service marketing mix. It is important to consider the perishability and intangibility of services when determining the price of services. In addition, a number of services are subject to price regulation by the government. The role of non-monetary costs in service offerings was discussed. Revenue and profit objectives, patronage and user base-related objectives, and strategy-related objectives are the three basic categories of service pricing objectives. A pricing strategy's framework can be described as a tripod, with three legs representing costs to the provider, competitor pricing, and value to the customer. Services marketers can choose from a variety of pricing strategies based on their pricing objectives and a thorough understanding of the cost of services, the value created for customers, and the pricing of competitors. In addition, a number of pricing decisions must be made, such as who will collect the payment, where, when, and how.

5.7 KEYWORDS

Non-monetary costs refer to the sacrifices perceived by the consumers, other than monetary costs, when buying and using a service.

Revenue and Profit Objectives- A price is determined by taking into account both the profit and the cost of providing services.

Patronage and User Base-Related Objectives- Price can be used effectively to build demand and develop a user base by developing customer loyalty and relationships.

Strategy-Related Objectives- Pricing can help with positioning and differentiation strategies.

Pricing Tripod- A pricing strategy's framework can be described as a tripod, with three legs representing costs to the provider, competitor pricing, and value to the customer.

Cost-based Pricing assumes that the cost of a unit of output can be determined and that a certain profit element is added to that to determine the price.

Competition-Based Pricing- the main characteristics that trigger pricing decisions in competition-based pricing are competitors' prices and actions.

Value-Based Pricing- when determining the price to be charged, the value-based pricing approach takes the customer's perspective into account.

Discount Pricing may be used as a promotional device when demand for services is low or when demand needs to be shifted from peak to off-peak.

Psychological Pricing gives customers the psychological impression that they are receiving services at a low cost.

Penetration Pricing refers to the practise of introducing a service at a low initial price in order to attract the price-sensitive market.

Prestige Pricing aims to attract premium market segments. The service's price reflects the status of the target market.

Skimming Pricing involves launching a service at a high initial price. It is used to exploit the opportunities in the premium segment in the first phase.

Value Pricing focuses on lowering customer costs and increasing customer value in order to provide higher customer delivered value.

Segmentation Pricing strategy refers to separating the group of customers from the rest of the market by offering a separate package.

Price Framing essentially provides complete pricing information for various service packages so that customers can group the desired services at a price and place an order.

Price Bundling basically means pricing and selling services as a group rather than individually.

Differential or Flexible Pricing is used to reduce the 'perishability' characteristic of services and iron out the fluctuations in demand. Differential price implies charging different prices based on time, place etc.

Diversionsary Pricing refers to a low price which is quoted for a basic service to attract customers.

Guaranteed Pricing refers to pricing strategy in which payment is to be made only after the results are achieved.

High Price Maintenance Pricing strategy is used when the high price is associated with the quality of the service.

Loss Leader Pricing strategy is one in which a low initial price is charged in the hope of gaining more business at later better prices.

Offset Pricing is quite similar to diversionsary pricing in which a basic low price is quoted but the extra services are rather highly priced.

Captive Pricing refers to providing a basic service or product as well as ongoing supplies or peripheral services as needed.

Two-part Pricing: The price of the services is divided into two parts under this strategy.

5.8 SELF ASSESSMENT QUESTIONS

1. What are the basic differences between pricing of goods and pricing of services? Does characteristics of services influence their pricing? Discuss, taking each service characteristic, one by one.

2. What is the role of nonmonetary costs in a pricing strategy, and how do they relate to the consumer's value perceptions?
3. How can the pricing tripod approach be useful to come to a good pricing point for a particular service?
4. How can we charge different prices to different segments without customers feeling cheated? How can we even charge the same customer different prices at different times, contexts, and/or occasions, and at the same time be seen as fair?
5. Enlist those services, in which there is a price competition. Also enlist some of those services in which there is non-price competition. Identify reasons, thereafter, for such pricing strategies in these two categories of services.

5.9 PROJECT QUESTION

Select a service organization of your choice and find out what its pricing policies and methods are. In what respects are they similar to or different from what has been discussed in this unit?

5.10 FURTHER READINGS AND REFERENCES

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UNIT 6 PLACE DECISIONS

Learning Outcomes

After studying this unit, you should be able to:

- examine how service characteristics influence distribution decisions
- explain the strategic decisions in service distribution
- appreciate the design considerations in developing effective service distribution system

Structure

- 6.1 Introduction
- 6.2 Place or Distribution
- 6.3 Strategic Decisions in service distribution
- 6.4 Channels of Service Distribution
- 6.5 Design of a Service Distribution system
- 6.6 Summary
- 6.7 Keywords
- 6.8 Self-Assessment Questions
- 6.9 Project Questions
- 6.10 Further Readings and References

It is heartening to note that HDFC has become number one in credit/debit card market share. This they were able to achieve by spreading a huge network of ATMs etc. Such a distribution network is significant as it helps in effectively covering the market and thereby harnessing the market potential.

6.1 INTRODUCTION

Distribution means 'PLACE' decisions and like manufactured goods such decisions are important in-service industries as these decisions relate to Location, Delivery and Coverage. Though it might be easy to understand these concepts for 'physical items', however we have examples of unsold or spare seats in Airlines sectors, unsold rooms in hotels and unsold table covers in restaurants. The service characteristics have direct impact on distribution decisions and in this unit, we shall examine the same.

6.2 PLACE OR DISTRIBUTION

Distribution or place decisions play an important role in service delivery. The primary goal of service distribution is to make services easily and conveniently available to consumers. Service characteristics such as intangibility, inseparability, variability, and perishability, as well as the levels of service products (core or peripheral), all contribute to the design of effective and efficient distribution decisions. Wirtz and Lovelock (2022) have suggested three modes of service distribution or transactions: Customers visit the service site, Service providers go to their customers, and Service transactions are conducted remotely.

Customers visit the service site: In this transaction, customers must visit the service outlet to avail the service. For example, hospitals, universities, theatres, health clubs, etc.

Service providers go to their customers: For some services, the service provider visits the customer's location and performs the service. House painting, postal service, security service, tree pruning, office and in-home catering, and so on are examples.

Service transactions are conducted remotely: In remote transaction, there is no need for service providers to have personal contact and face-to-face encounters with the customers. The internet, online technology, advancements in information communication technologies, and web and app development all help to facilitate this approach to service transactions. For example, online ticketing, hotel and cab booking, purchasing insurance plans online, online trading in stock market, and so on.

Some core services require a physical location (for example, people-processing services, which necessitate direct physical contact with service personnel, equipment, and facilities), severely limiting their distribution. However, information-based core services as well as many supplementary services such as order-taking, billing, and payment can all be distributed and delivered remotely via online channels.

Activity 1

Select three distinct service industries, one each for Customers visit the service site, Service providers go to their customers, and Service transactions are conducted remotely. Discuss the value proposition of these three service transaction modes.

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6.3 STRATEGIC DECISIONS IN SERVICE DISTRIBUTION

The most important decision element in the distribution strategy relates to the issue of location of the service so as to attract the maximum number of consumers. The inseparability characteristic of service such as those of doctors, teachers, consultants, mechanics etc. poses a distribution constraint since they are able to serve only a limited, localised market. The other characteristic of services which affects the distribution strategy is the fixed location of services such as universities, restaurants, and hospitals which necessitates the customer to go to the service location rather than vice-versa.

The first decision variable in planning the distribution strategy relates to the location of the service. In deciding where to locate your service, you should raise the following questions as they would help you arrive at the right decision.

- i) How important is the location of the service to the customers? Will an inconvenient location lead to purchase being postponed or being taken

over by a competitor? The answer is 'yes' in case of services such as dry-cleaning, fast-food outlets where convenience is the most critical factor. The answer is no in case of services provided by doctors and beauty parlours, where the customer's involvement with the provider of the service is very high and the decision is made on the basis of reputation, competence and past experience.

- ii) Is the service, technology-based or people-based? How flexible is the service? Can the equipment and people be moved to another location without any loss in quality?
- iii) How important are complementary services to the location decision? Can the clientele be increased by locating services where complementary products or services already exist? Garages and mechanic shops located next to petrol stations are examples of complementary location decision.

The second decision variable in the distribution strategy is whether to sell directly to the customers or through intermediaries. In case of services which are inseparable from the performer, direct sale is the only possible way of reaching the consumer. In case of other services such as hotels, airlines, property, life insurance, they may operate through middlemen.

The third decision variable in the distribution strategy is how to provide the service to a maximum number of customers in the most cost-effective manner (if the service is not of the kind that is inseparable). Some of the recent innovations in the area are digital technologies, online retailing or e-commerce, rental or leasing, franchising and service integration.

Distribution Strategy

Depending on the nature of the service products, the market, and the objectives, service organisations can employ one of three distribution strategies: extensive distribution, selective distribution, or exclusive distribution.

Extensive distribution makes services available to as many people as possible by utilising a larger distribution network. Banking services, for example, are moving toward intensive distribution through the use of Internet and mobile banking, as well as retail branches.

Exclusive distribution offers services through a very limited number of outlets that are specifically designed for a specific customer segment. Following an exclusive distribution strategy, highly specialised and non-substitutable services are provided. For example, specialised coaching services for professional education and administrative services; specialised services provided by a hospital; and entertainment theme parks.

Selective distribution strategies fall somewhere between extensive and exclusive distribution strategies. For example, when a company states in its communication that a product is only available in a limited number of outlets, the company is using selective distribution. Many services are selectively distributed through franchise models or the establishment of multi-site operations. Certain hotel chains, for example, Ginger, selectively reach out to the market in this manner. PVR, an entertainment theatre chain, builds theatres in catchment areas on a selective basis.

Activity 2

Assume you're opening a cafe. Which criteria would you use to compare various service locations? Select three potential locations and compare them based on the criteria. What decision would you take?

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6.4 CHANNELS OF SERVICE DISTRIBUTION

Distribution in services can be broadly classified into two categories- direct sales and sales via intermediaries. The following table provides examples of both of these categories.

Direct Sales	Sales via Intermediaries
☐ Electronic channels e.g., ATMs, Online courses, e-commerce platforms ☐ Franchisees e.g., McDonald's ☐ Quasi Retailing	Agents & Brokers e.g., travel/ insurance agents

1) Direct Sales

Direct sales have specific marketing advantages as they help in maintaining better control over how the service is provided or performed and also in obtaining direct feedback from customers. There are obvious problems also in direct sales, like; problems of expanding the business and coping with high workloads where the services of a particular individual may be in demand or direct sale means limited geographic market coverage.

a) Direct Sales Through Electronic Channel

To overcome such problems companies have explored the possibilities of direct sales through electronic channels. The Internet and digital technologies have made it easier for service marketers to reach a wider audience. Television, cell phones, e-commerce, online platforms, and other electronic channels are examples. Customers with Internet access can contact a service provider by visiting their website and ordering or receiving services. Some of the services that can be directly distributed to customers via electronic channels include education, entertainment, information, banking services, and so on.

The typical benefits the companies see in electronic distribution of services are:

- ☐ Consistent delivery for standardized services
- ☐ Low cost
- ☐ Customer convenience

24/7 service with prompt delivery

- Wide distribution
- Customer choice and ability to customize
- Quick customer feedback

Activity 3

Compare the advantages (or disadvantages) of online railway reservation system with conventional reservation window system.

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b) Franchising

The other trend in distribution of services is that of franchising. Franchising is the granting of rights to another person or institution to exploit a trade name, trade mark or product in return for a lump-sum payment or a royalty. Franchise is characterised by the following features:

- a) Ownership by one person of a name, an idea, a secret process or specialised piece of equipment and the goodwill associated with it.
- b) The grant of a licence by that person to another permitting the exploitation of such name, idea process or equipment and the goodwill associated his rights.
- c) The inclusion in the licence agreement of regulations relating to operation of the business in the conduct of which the licensee exploits his rights.
- d) The payment by the licensee of a royalty or some other consideration for the rights that are obtained.

In service Industries franchises operate in the area of hotels, restaurants, car rentals, fast food outlets, beauty parlours, pest control, travel agencies, office services, packers and movers, couriers, business centres, etc.

The advantages provided by a franchising arrangement are as follows:

1. There are usually training materials already developed, for both franchisees and their workers.
2. Expansion through franchising can proceed quickly.
3. The franchiser need apply only minimal controls; it does not have to develop as large a bureaucracy to govern the business.
4. A franchiser's overhead is lower because the franchisee does hiring, collections, local promotions, etc.
5. There are economies of scale to advertising and promotion.
6. The franchisee is responsible for most of the cost control.
7. There is often less risk attached to franchise expansion than with the creation of new service ventures that may not have been tested as well.

8. Franchises usually have a better record for staying viable business than the typical service business start-up.
9. Local operators are committed because they have their own capital at risk.
10. The service tasks, service standards, and service delivery systems are usually well defined and structured, and thus they work well. They have been prototyped, and many of the potential problems with the operations have already been identified and ironed out.

c) Quasi Retailing

The quasi-retail outlets, sell services rather than goods, like-

- Hairdressers
- Travel Agents
- Car hire agencies
- Restaurants
- Amusement arcades
- Employment agencies
- Hotels
- Driving Schools

Arguments against Quasi-Retailing are that they can push up property values. Also they may create dead frontages which discourage window shopping. Some service outlets may be closed on peak shopping days (e.g. banks on Saturday) and too many quasi-retail outlets in a centre can reduce the range of conventional retail store choice, if the quasi retail establishments are closed or otherwise.

Arguments for Quasi-Retail are that many complements other retail businesses. For example, users of facilities like banks and building societies may use shops selling goods on the same shopping trip. Service outlets can have imaginative window displays to encourage window shopping. There are some suggestions for quasi retail establishments to succeed. Firstly, they should encourage customers to travel longer distances, as the retail radius of the outlet might otherwise remain small. This can be done by special promotions and displays. The Golden arch of McDonald's can be seen from a distance and can help the people to identify it. The second suggestion is to locate service outlets near complementary facilities, like: multiple theatre complexes and entertainment centres.

The third suggestion which can be considered is to centralize service production facilities but decentralize customer contact facilities (e.g., photograph processing, pathological labs, etc.), which will help in expansion of the market and reduction in service production cost.

The fourth suggestion is to reduce the range of service offer at individual service outlets to match the market requirements and also to reduce the overheads. For example, many speciality Clinics are not the full-service hospitals but they help in market coverage and delivery of services. There could be many more suggestions and therefore each service organization must evaluate how it can be benefited from quasi retailing.

Activity 4

Place Decisions

Do you think that a specialty hospital like Narayana Institute of Cardiac Sciences, Bengaluru can cater to the requirements of the public through one main hospital in a particular region of the country? If no, then what relative advantages you see in “Quasi Retail Outlets” of the health care organization?

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2) Sales via Intermediaries

To the extent the middlemen exist in a service channel, they are typically sales agents, brokers since there are no inventories to be purchased or distributed.

Service Channel tends to be direct. Therefore, this Production/Distribution house should be located, to ‘sell’ whatever you have in the inventory where it is possible. Place decisions are therefore, all extra-corporate entities between producer and prospective users that is utilized to make the service available and/or convenient. A Distribution Channel for a service organization is, therefore, is a sequence of firms (or units) involved in moving a service from producer to consumer.

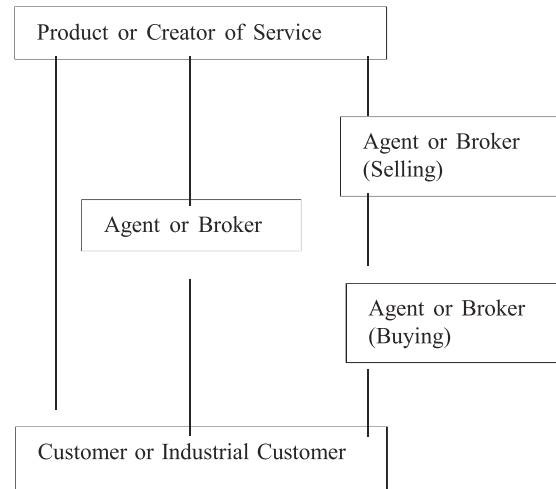
Key Issues Involving Intermediaries

The following are the major issues which should be addressed before hand in deciding the distribution strategy involving intermediaries:

- ☐ conflict over objectives and performance
- ☐ conflict over costs and rewards
- ☐ control of service quality
- ☐ empowerment versus control
- ☐ channel ambiguity

A service organization can develop an effective channel system if it helps the intermediary to develop customer-based service processes by providing the required support. Also through training it may develop the intermediary to deliver service quality and gradually move to a cooperative management system and controls.

Keeping in view the characteristics of services and the potential management problems in retailing of services, as shown in Fig 6.1, there are distinct channel configurations, which one can notice in service sector. Rathmell has suggested the dominant channel configuration in the service sector where agents and brokers play the key role in distribution of services.

Figure 6.1: Channel Configurations of Services

Agent: An agent is an independent intermediary, who may act in the name of, or for a principal. His contract will define these provisions along with territorial rights, exclusivity and sales commissions.

Broker: A broker is an independent intermediary between buyer and seller who bring parties together to facilitate the conclusion of sales contract. A broker may have continuing relationship for his client under a contract period; for which he may charge fee for assistance. Alternately, a broker may be for a special job to be undertaken.

There are obvious benefits in distributing services through Agents and Brokers. Firstly, they help in reducing the selling and distribution costs besides a wider representation in the market. Secondly, such intermediary's possess special skills and expertise and also the knowledge of local markets. However, these agents and brokers also pose some challenges. For example, representation of multiple service principals may lead to poaching in territories of others resulting in loss of control over pricing and other aspects of marketing.

Activity 5

What services a travel agent or financial advisor can provide to a customer? List them out by taking the example of any travel agency or financial advisory services about which you are familiar:

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Functions of Agents and Brokers

The major function of these agents and brokers is, like any other intermediary, to bring the producer of service and the user or consumer together.

For certain services, agents can be identified and deployed with selling as the chief function to be performed by them. These agents can be compared with the agents for goods and they are classified as brokers or sales agents. The example of this kind of channel is transportation (travel agents) and office or factory workers (employment agencies). However, in some cases

the agents may be trained in the creation and production of service and then franchised to sell it (e.g., Shahnaz Hussain Beauty Parlors).

In case of certain services, actual product is not transferable and therefore tangible representations are created and transferred. This type of channel is used for marketing insurance services, where a contract document exists as a physical and tangible representation of the services.

Another characteristic of services is that the services are generally not delivered to the buyer and the creation of time and place utilities is a vital function in the services marketing. Irrespective of whether one uses agents or middlemen or direct sales channel the factor of location keeping in view the potential markets will be the most significant factor in channel selection decision. Duane David et.al, are of the view that location considerations along with personal sources of information are two of the critical factors in final purchase decision of many services.

The problem of standardization and uniformity restrains the service organization to use middlemen to any great extent and limit the geographical area which the service organizations propose to reach and cover. This lays emphasis on the significance of good selection to attain maximum coverage at the market place. Banking organizations have started reliving this fact and introduced extension counters, mobile banking apart from opening branches in rural areas.

6.5 DESIGN OF A SERVICE DISTRIBUTION SYSTEM

Donald H. Light has proposed the seven points listed below to aid in the operation of the distribution system.

Align the System Properly: To make the distribution system work, the dimensions of the service firm, intermediaries, and customers must be properly aligned. It is also necessary to align distribution goals with corporate goals.

Remember Each Part of the Sales Cycle: Any service product's sales cycle has three stages: "before the sale," "during the sale," and "after the sale." Before the sale stage, the design of the service process and promotional campaigns by service companies have a greater impact. During the sale, the emphasis should be on quality performance and doing things correctly the first time. Customer retention efforts are directed toward the "after-the-sale" phase through customer relationships, customer complaint handling, service recovery strategies, and promoting customers to a higher stage in the relationship ladder.

Balance Retail and Wholesale Intermediaries: Wholesalers and retailers require distinct skills and techniques, as well as the ability to perform distinct functions. Service companies should ensure that the activities of wholesalers and retailers are balanced properly and there is no ambiguity.

Make Wholesale Intermediaries Effective Product Managers: When intermediaries are used in service distribution, proper delegation is required, especially when wholesalers act as product managers. They should be encouraged to develop an overall distribution plan for the product as well

as the ability to meet the technical needs of the functional departments at service production outlets.

Keep Intermediaries Loyal: Intermediaries serve as the link between customers and service providers. They should be encouraged to maintain a positive and trusting relationship with the service principal. This is possible through collaboration, the extension of support services, and the exercise of control over service processes through the involvement of intermediaries.

Pay the Price to Do Multi-marketing Correctly: Multi-marketing means serving customers through more than one distribution channel. Most businesses use multi-marketing to increase customer accessibility as well as market expansion and penetration. Banking services, for example, are provided through a branch network, ATMs, electronic channels, and agents and brokers.

Control the Pace of Change: Flexibility is required for the system to be adaptable to changes in the business environment. It is necessary to restructure intermediary relationships and shift toward new channels on a regular basis, taking into account external forces such as competition, technology, regulation, and so on.

Logistics in Services

The field of logistics has been recognised as an area of consideration for the effective distribution of services. It could be the issue of locating a site for the new branch of a bank, or delivering health care facilities, or the location of educational institutions, etc. In some cases, these logistical problems are always overshadowed by government policy or interventions. There are guidelines suggesting that to open a single branch in any urban area, a nationalised bank has to first open a fixed number of branches in rural areas. The significance of logistics is increasingly felt in the services sector as the field of logistics is gaining importance in the manufacturing industries.

6.6 SUMMARY

Distribution or place decisions are important in the service industry as these decisions relate to location, delivery, and coverage. Three modes of service transactions include: customers visiting the service site; service providers going to their customers; or service transactions being conducted remotely. Depending on the nature of the service products, the market, and the objectives, service organisations can employ one of three distribution strategies: extensive distribution, selective distribution, or exclusive distribution. When it comes to the distribution of services, the channels are direct or short, with a maximum of one-to-two levels. Direct distribution of services can be through electronic channels, franchising, or retailing. Services can also be distributed through intermediaries like agents or brokers. Furthermore, if the distribution system is properly designed, it can be used as a truly effective competitive edge.

6.7 KEYWORDS

Agent is an independent intermediary, who may act in the name of, or for a principal. His contract will define these provisions along with territorial rights, exclusivity and sales commissions.

Broker is an independent intermediary between buyer and seller who bring parties together to facilitate the conclusion of sales contract.

Extensive distribution makes services available to as many people as possible by utilising a larger distribution network.

Exclusive distribution offers services through a very limited number of outlets that are specifically designed for a specific customer segment.

Selective distribution strategies fall somewhere between extensive and exclusive distribution strategies. For example, when a company states in its communication that a product is only available in a limited number of outlets, the company is using selective distribution

Electronic channels deliver services by utilising electronic technologies such as Internet websites, telecommunication devices, television, cell phones, and others.

Franchising is the granting of rights to another person or institution to exploit a trade name, trade mark or product in return for a lump-sum payment or a royalty

Quasi-retailers are outlets selling services rather than goods, including travel agents, banks, and hotels.

6.8 SELF-ASSESSMENT QUESTIONS

1. Differentiate between the channels of distribution and distribution logistics, as applicable in the Services Sector. Explain both these concepts in the context of a courier company.
2. What are the relative advantages (or disadvantages) of direct sales vs. sales via intermediaries? Give specific examples in support.
3. You may be aware of McDonald's extensive franchise network. Discuss how franchise operations are beneficial to a service organization rather than their own outlets.
4. What is the concept of "quasi-retailing"? Identify at least three organisations where quasi-retailing is a must. Also, enumerate the advantages of quasi-retailing for these organizations.
5. Differentiate between agents and brokers. Suggest marketing situations where such members of intermediaries are important.
6. Why is it important to consider the distribution of core and supplementary services both separately and jointly?

6.9 PROJECT QUESTION

Identify a service industry that employs a variety of service channels. What are your reasons for using multiple channels, and what are the firm's reasons for offering them?

6.10 FURTHER READINGS AND REFERENCES

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UNIT 7 PROMOTION DECISIONS

Learning Outcomes

After studying this unit, you should be able to:

- assess the role of promotion in marketing of services
- understand service communication objectives and target audience
- appreciate the challenges of service communications
- analyse the service promotion mix
- explain the integrated service marketing communications

Structure

- 7.1 Introduction
- 7.2 Promotion
- 7.3 Promotion Objectives and Target Audience
- 7.4 Challenges of Service Communications
- 7.5 Planning the Promotion Mix
- 7.6 Integrated Service Marketing Communications
- 7.7 Summary
- 7.8 Keywords
- 7.9 Self-Assessment Questions
- 7.10 Project Questions
- 7.11 Further Readings and References

The so called classic four; radio, television, print and outdoor media have always played a major role in helping service companies in reaching out to their customers. With the advent of online communication channels such as the Internet, mobile apps, and social media, newer opportunities for reaching prospects and existing customers with varying degrees of targeting and message specificity have emerged. Have you ever noticed that when you search for a product or service on Google, you get promotional messages for similar products? Similarly, when you book a rail or air ticket online, you will receive an automatic promotional message for booking cabs and hotels. After you have completed your tour itinerary, you will continue to receive promotional messages for upcoming tour packages, special fares and discounts, and so on.

7.1 INTRODUCTION

Service marketing necessitates a different emphasis on promotion than marketing goods. Because services are intangible, they are difficult to evaluate and promote. The advent of the internet and online communication channels has drastically transformed the information usage of service customers. This unit will discuss various issues related to service communications, elements of the traditional promotional mix, as well as online communication channels.

7.2 PROMOTION

It is now established that there are clear differences in information usages between goods and services. First, the difference is that consumers of services are less likely to purchase without information than those of buying goods.

Secondly, the consumer of services will prefer personal sources over impersonal sources of information. And thirdly, the basic characteristics of services have implications for communication strategy. For example, in hospitality industry the intangible service offer is tangibilised and represented in the promotional material and customers decide to buy or not to buy on the strengths of the descriptions and representations of the service offer in the promotional material.

Service marketing communications must be viewed in a broader context than the traditional promotional mix of advertising, public relations (PR), publicity, and personal selling. The location and ambience of a service delivery facility, as well as the behaviour and appearance of service personnel, contribute to the promotion of services. Furthermore, with the advent of internet and online communication channels such as the firm's websites, online and mobile advertising, mobile apps, social media, and podcasting, the possibilities for highly targeted communications have expanded. All of these traditional and online promotion mixes must be effectively synchronised in order to attract new customers and retain existing customers.

Activity 1

Recall any recently purchased services and explain how the promotion of that service influenced your purchase decision.

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7.3 PROMOTION OBJECTIVES AND TARGET AUDIENCE

Although there could be a variety of objectives to promote, but the basic objectives of the promotion mix for services may fall under one of the following:

1. Develop personal relations with client (personal relations might result in satisfaction, more than their service offer).
2. Make a strong impression of competency, honesty and sincerity (professional orientation to service transaction so as to win buyers confidence in sellers' abilities to deliver the services).
3. Should be able to use indirect selling techniques (creating derived demand or act as a buying consultant).
4. Manage to maintain a fine image by positive word of mouth.
5. Packaging and customization.

The overall objective of promotion is to develop a service brand and position it against competitors. It is to be communicated in order to persuade target customers that the service product offers the best solution to meet those customers' needs in comparison to competing firms' offerings. Furthermore, communication goals can be tailored to manage customers' perceptions, beliefs, attitudes, and behaviour during the prepurchase, service encounter, and post-encounter stages of the service consumption process. For example, unique attributes of service offerings are communicated in the prepurchase stage, performance perceptions during the service encounter stage, and referral and loyalty behaviours in the post-encounter stage.

Target Audience

While you are defining the objectives of your communication campaign, you should also be clear about the target audience. In service sectors there is a direct contact between the person who provides the service and the customers. Therefore, some amount of promotion should be targeted at the employees so as to motivate them to serve the customer better. In such communications the objective can also be to educate the employees about how to handle operational problems so as to increase their performance level. Employees can be motivated by a well-designed promotion campaign aimed at customers. It may, in particular, assist employees in shaping their behaviour in order to deliver on advertising promises made to customers. However, communicating unrealistic performance criteria to customers may demotivate service personnel.

The other set of target audience are similar to that of goods where the target audience may not necessarily be the buyer or user but also the influencer, decider or user of the buying cycle.

Activity 2

Explore the various advertising objectives and target audiences for Credit Cards and Insurance services

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7.4 CHALLENGES OF SERVICE COMMUNICATIONS

Let us look at some of the promotion challenges that service firms face when designing communications messages.

Service Intangibility:

The intangibility of services causes issues for customers both before and after they purchase them. Consumers have difficulty understanding what they will be purchasing and evoking names and types of services to consider before purchasing services. During the purchasing process, consumers are frequently unable to distinguish between services. Consumers have difficulty

evaluating their service experiences after purchase. Intangibility, according to Banwari Mittal, causes five problems for service marketing communication: incorporeal existence, abstractness, generality, nonsearchability, and mental impalpability.

Incorporeal existence: It is difficult to demonstrate the service because it is not made of physical matter and does not occupy physical space. The delivery mechanism occupies space, but the service does not.

Abstractness: It is difficult to visualise and comprehend the service benefits of financial security, entertainment, and health because these concepts of service do not have a one-to-one correspondence with physical objects. As a result, service providers may find it difficult to connect their services to intangible concepts.

Generality: Many services and service promises are described in generalities (amazing experience, superior quality, completely satisfied customers), making it difficult to distinguish them from competitors' offerings. Specificity refers to specific objects, people, or events, whereas generality refers to a class of things, people, events, or properties.

Nonsearchability: It refers to the inability of intangibles to be searched or inspected prior to purchase. In the case of healthcare services, for example, physical service attributes such as the appearance of a hospital and medical facilities can be checked in advance, but the personal experience of healthcare services can only be determined after receiving treatment from the doctors.

Mental impalpability: Many services are often complex, multidimensional, or novel, and consumers, particularly new prospects, find it difficult to interpret and understand what the experience will be like and what benefits will result.

Specific communication strategies have been suggested in exhibit 7.1 that service firms can use to create messages that address each of the five issues caused by service intangibility.

Exhibit 7.1 Service Advertising Strategies Matched with Properties of Intangibility

Property of Intangibility	Advertising Strategy	Description
Incorporeal existence	Physical representation	Show physical components of service that are unique, indicate high quality, and create the right association.
Abstractness	Service consumption episode	Capture and display typical customers benefiting from the service, evoking particular incidents.

Generality	System documentation	Objectively document physical system capacity by showing facts and figures.
	Performance documentation	Document and cite past positive performance statistics.
	Service performance episode	Present a vivid story of an actual service delivery incident that relates to an important service attribute.
Nonsearchability	Performance documentation	Cite independently audited performance.
	Consumption documentation	Obtain and present customer testimonials.
Mental impalpability	Service process episode	Present a vivid documentary on the step-by-step service process.
	Case history episode	Present an actual case history of what the firm did for a specific client

Source: Adapted from B. Mittal, "The Advertising of Services: Meeting the Challenge of Intangibility," *Journal of Service Research* 2 (August 1999), pp. 98–116.

Management of service promises: The issue arises when the delivered service falls short of what was promised. This can happen when the part of the service provider making the promise lacks the information needed to make correct statements.

Management of customer expectations:

In general, promotion seeks to attract customers by influencing and raising their expectations, as well as differentiating the firm's service offerings from those of competitors. It is preferable to cultivate realistic expectations rather than unrealistic ones. Communicating a service whose delivery is exceptional rather than the norm will result in a mismatch between customer expectations and the service delivered, resulting in a dissatisfied customer.

Customer education:

Customers will be disappointed if they are unsure about how services will be delivered, what their role in delivery involves, and how to evaluate services they have never used before. When they are dissatisfied, they frequently blame the service provider rather than themselves. As a result, the company must assume responsibility for customer education.

Internal marketing communication:

To provide excellent service, firms must ensure that their employees are informed and motivated to deliver what their customers expect. Internal communication of policies and procedures across departments and branches is important to consistently providing service excellence. Multiple functions

within the organisation must be coordinated to achieve the goal of providing quality services, and frequent and effective communication across functions is critical.

Activity 3

Recall any service experience in which a company promoted customer education. What other customer education strategies would you recommend?

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7.5 PLANNING THE PROMOTION MIX

Advertising: Advertising is any kind of paid, non-personal method of promoting by an identified organisation or individual. Certain services such as entertainment (cinema, theatre), passenger and freight transport (roadways, airlines, trains), hotel, tourism and travel, insurance have been advertising heavily in newspaper, magazines, radio, TV, social media, website, and online to promote greater usage and attract more customers. However, certain service professionals such as doctors, accountants, and lawyers, have rarely used advertising as a means of increasing their clientele. These groups have traditionally relied on word-of-mouth for attracting new customers. But this situation is changing and you can see advertisements in the daily newspapers giving information about the location and timings that a particular doctor is available for consultation. These advertisements may also carry the message ‘Honorary doctor to the President of India’s or ex-director of a prestigious medical college or institution. Such messages help create a positive image and credibility.

The Guidelines which can be kept in mind while promoting services are as follows:

- a) use simple, clear messages;
- b) emphasise the benefits of service;
- c) promise only that which can be delivered and do not exaggerate claims;
- d) build on word-of-mouth communication by using testimony of actual consumers in advertisements; and
- e) provide tangible clues to services by using well-known personalities or objects to help customers identify the service.

One other aspect which is of importance in designing an appropriate advertising strategy is the high level of consumer-organisation interaction required in certain types of services (beauty saloons, management consultant, doctor). In these types of services, the objectives of advertising have been identified as:

- a) creating an understanding of the company in the customers’ minds by describing the company’s services, activities and its areas of expertise
- b) creating a positive image for the company

- c) building a strong sense of identification with the customer by turning his needs, values and attitudes
- d) creating a positive background for the sales people to sell the services by providing all relevant information about the company.

George and Berry, keeping in view the intangibility of services, proposed that in the case of services a customer is buying the performance of the service personnel and therefore the advertising in service industries should not only restrict itself to encouraging consumption, but also it should encourage employees to perform well. They proposed the following six basic guidelines to help design effective advertising programmes.

- The advertising should have positive effects on contact personnel.
- The advertising should capitalize on the word of mouth.
- The advertising should provide tangible clues to the customers.
- The advertising should make the service offering easily understood.
- The advertising should contribute to the continuity.
- The advertising should promise what is possible.

Sales Promotions: Lovelock and Quelch, while listing the various objectives of promotion and types of promotions which a service provider can use, emphasized that in execution of any type of consumer promotion scheme, one should carefully consider the six basic elements, namely, product scope, market scope, value, timing, identification of the beneficiary and protection against competition. They further suggested that unlike physical goods the varieties of schemes available as consumer sales promotion schemes are highly limited. For example,

- Sampling cannot be used frequently because of the cost of service.
- Premiums are frequently used to give an element of tangibility.
- Price/quantity promotion can help generating long term commitment from consumers e.g., group rates for hotels.
- Coupons are lesser in use.
- Refunds and future discounts not much in practice.
- Prize Promotions can be used effectively and add excitement and involvement.

Activity 4

Identify promotions which you have recently seen offered by

- a. Commercial Banks
- b. Hospitals
- c. Retail Chains

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Guidelines for Selling Services (Personal Selling): Much has been written on the sales management, primarily in the context of product marketing. Johnson observed that for a service sales personnel the following do's and don'ts should be followed.

First, the service sales person should develop a personal relationship with the client. Quite often it is the personal relationship rather than the service itself that results in satisfaction or dissatisfaction with the service. If there is a distinct need for a high-quality personalized service, then one must pay more attention to its organizational structure.

Secondly, it is suggested that one must adopt a professional orientation as the key to most service transactions is the buyer's confidence in the seller's ability to deliver the desired results. It is therefore important that a service sales person must make a strong impression of competency, honesty and sincerity.

Thirdly, a service sales personnel has to use indirect selling techniques, as what he/she is promoting is an intangible. This can be done either by creating a derived demand or by playing the role of buying consultant. Most hotels first sell the location and then their hotel to the customer.

Fourthly, they have to build and maintain a favourable image. The public opinion plays a greater role in marketing a service; therefore, managing word- of-mouth publicity is important. We will specifically take up this issue under section- communications mix elements originate from outside the firm.

And lastly, a service seller sells services and not a service. At any given point of time, a service seller is dealing with a host of services rather than one. Their thoroughness on each and ability to package them to suit each customer's needs would determine the success. In other words, the ability of seller to customize the service offering is very important.

Public Relations and Publicity: In certain service industries it is not possible to use the conventional promotion tools with success. For example, in advertising industry mass media advertising is really rare. There are some services where the size of the operation is not large enough that one can afford heavy promotional budgets. There are others who cannot afford to cope up with their existing workload. There are still others who find it difficult to advertise or promote as it might lead to a bad taste. For example, a hospital might find it very difficult to promote abortion services. Similar could be the case for open-heart surgery or other services.

Arising out of these reasons the conventional promotional tools have a limited use. Duncan suggested that the services sector industries have to think about other promotional tools like public relations and publicity.

There are very successful examples like a medical doctor specializing in eye care running his own clinic-cum-nursing home and organizing free eye camps in all over the region. This community service not only spread his name but also proved his competence. The local newspapers might carry stories about such camps to give further boost to the promotion.

Therefore, promotional activities like community relations, event management, media blitz, corporate identity programmes have relevance and they should be used innovatively and effectively.

Direct Marketing: Service providers can use direct marketing to promote their products and services. Customers can be informed about service attributes and processes via television (sky shops), mail, e-commerce platforms, and other means. Further, customers can be encouraged to clarify their doubts about service offerings through interactive direct communication.

Online Promotions- Highly targeted and personalised promotions are possible with online and mobile advertising, apps, social media, e-mail, and podcasting. Online and mobile advertising, like any other element of the promotion mix, enables service firms to supplement and increasingly substitute traditional communication channels at a low cost. The firm's websites, social media page, banner advertising, search engine advertising and optimization, e-mail are examples of online communication channels.

Communications mix elements originate from outside the firm or external environment

Some of the messages about the services of a company originate from outside of the firm, which cannot be controlled. Word-of-mouth, online reviews, blogs, social media, and other media coverage are among them. In many cases, particularly in high-stakes purchase decisions, potential customers prefer such recommendations from other customers to firm-initiated communications.

Word of Mouth: Services being rich in experience qualities, word-of-mouth (both in person and electronic form on social media) plays an important role in promoting services. Due to the availability of the internet, personal influence can now be spread at a faster rate. Thus, we also have word-of-mouth or viral marketing in addition to word-of-mouth.

Services are adopted, if not more, as much because of word-of-mouth communications as because of active promotion by marketers. However, people seldom pass on information about a product or service without some reasons. Managers who want to take advantage of word-of-mouth communication should make specific efforts in this direction. Given below are some suggestions for stimulating a positive word of mouth (apart from providing excellent service quality)

- ❑ Offering a gift, discount or other reward to customers who bring in new customers.
- ❑ Asking customers who express satisfaction, to tell their friends.
- ❑ Running a newsletter and asking customers to contribute. Contribution may be in terms of letters, stories or ideas. This can also be done through website.
- ❑ Reward your regular customers with some freebies.
- ❑ Target opinion formers.

Social Media

Today's consumers live in a world where social media touches almost every aspect of their lives. Customers share their experiences with services and recommendations with others through social media, influencing opinions of a brand or product. As a result, it is essential for service firms to engage the

public on social media and respond in real time, as social media interactions have the potential to influence all aspects of service communications, from need awareness to purchase decisions, service consumption, quality perception, reviews, and recommendations.

Activity 5

Identify the role of public relations (PR) for traffic police. Do you think any other communication tool could be more effective?

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7.6 INTEGRATED SERVICE MARKETING COMMUNICATIONS

As discussed earlier in this unit, today's consumers receive communications from a variety of channels, such as websites, social media, mobile advertising, blogs, virtual communities, direct mail, e-mail solicitation, and a host of sales promotions. Servicescapes, customer service departments, and everyday service encounters with employees all provide additional communication to service consumers. These service interactions increase the variety, volume, and complexity of information received by a customer. Keeping messages consistent across all of these channels necessitates the adoption of integrated service marketing communication (ISMC).

ISMC's role is to coordinate with various departments responsible for various aspects of a company's service market communications. For example, the marketing department in association with an advertising agency is in charge of advertising; the PR department of public relations; functional specialists are in charge of a company's website and its direct marketing and promotions activities; operations personnel for customer service; and human resources for training. ISMC connects and reinforces communication so that everyone involved understands both the company's marketing strategy and its consumer promises.

7.7 SUMMARY

It is now widely accepted that marketing of services requires a different emphasis on promotion than marketing goods. The intangibility of services causes issues for customers both before and after they purchase them. Other service communications challenges include management of service promises, customer expectations, customer education, and internal marketing communication. Along with the traditional promotional mix of advertising, public relations (PR), publicity, and personal selling, the internet and online communication channels play an important role in Service marketing communications. In order to achieve effective coordination and consistent message delivery, traditional and online promotion mixes must be effectively synchronised by implementing an integrated service marketing communication strategy.

7.8 KEYWORDS

Advertising is any kind of paid, non-personal method of promoting by an identified organisation or individual.

Abstraction is the absence of a one-to-one correspondence with a physical object.

Direct marketing involves no intermediaries between service providers and customers.

Generality entails items that belong to a group of people, things, or events and are not specific to the firm's performance.

Integrated service marketing communication (ISMC) necessitates that everyone involved in communication fully comprehends both the company's marketing strategy and its consumer promises.

Mental impalpability is difficult to comprehend and interpret.

Nonsearchability entails the inability to inspect or search for items prior to purchase.

Online communication channels include the firm's websites and online advertising via internet, e-mail, social media, and mobile apps

Public relation is a thoughtful attempt by a service firm to establish relationships with various people who are capable of influencing, directly or indirectly, business prospects.

Personal selling refers to efforts to educate customers and promote preference for a specific brand or service product.

Sales promotion helps customers make a purchasing decision or encourages them to use a specific service.

Word-of-mouth: messages about a service or company that originate outside of the organisation and are not under the marketer's control.

7.9 SELF-ASSESSMENT QUESTIONS

1. In what ways do the objectives of services communications differ significantly from those of goods marketing?
2. What are some of the challenges in service communications, and how do you overcome them?
3. What guidelines you would follow for developing an advertising campaign for a service organization? Discuss by taking the example of a commercial bank or an insurance company.
4. What are the various types of online marketing? Which do you think would be the most effective online marketing strategies for a gym or health club?
5. Why are social marketing media such as YouTube, and blogs so important in the service industry?
6. Why is word-of-mouth (both in person and online) important for service marketing? How can a service firm encourage and manage word-of-mouth?

7.10 PROJECT QUESTIONS

1. Visit Google ad website (<https://ads.google.com/home#!/>) and describes the types of promotion (advertising) services that Google offers.
2. Conduct a Google search for holiday package (vacation plan) and examine two or three contextual ads that come up as a result of your search.

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